pricing options of the Elastic Compute Cloud (EC2) to make sure you get the most computing power for your money.

3.1 Exploring a virtual machine

A virtual machine (VM) runs on a physical machine isolated from other virtual machines by the hypervisor; it consists of CPUs, memory, networking interfaces, and storage. The physical machine is called the *host machine*, and the VMs running on it are called *guests*. A *hypervisor* is responsible for isolating the guests from each other and for scheduling requests to the hardware by providing a virtual hardware platform to the guest system. Figure 3.1 shows these layers of virtualization.

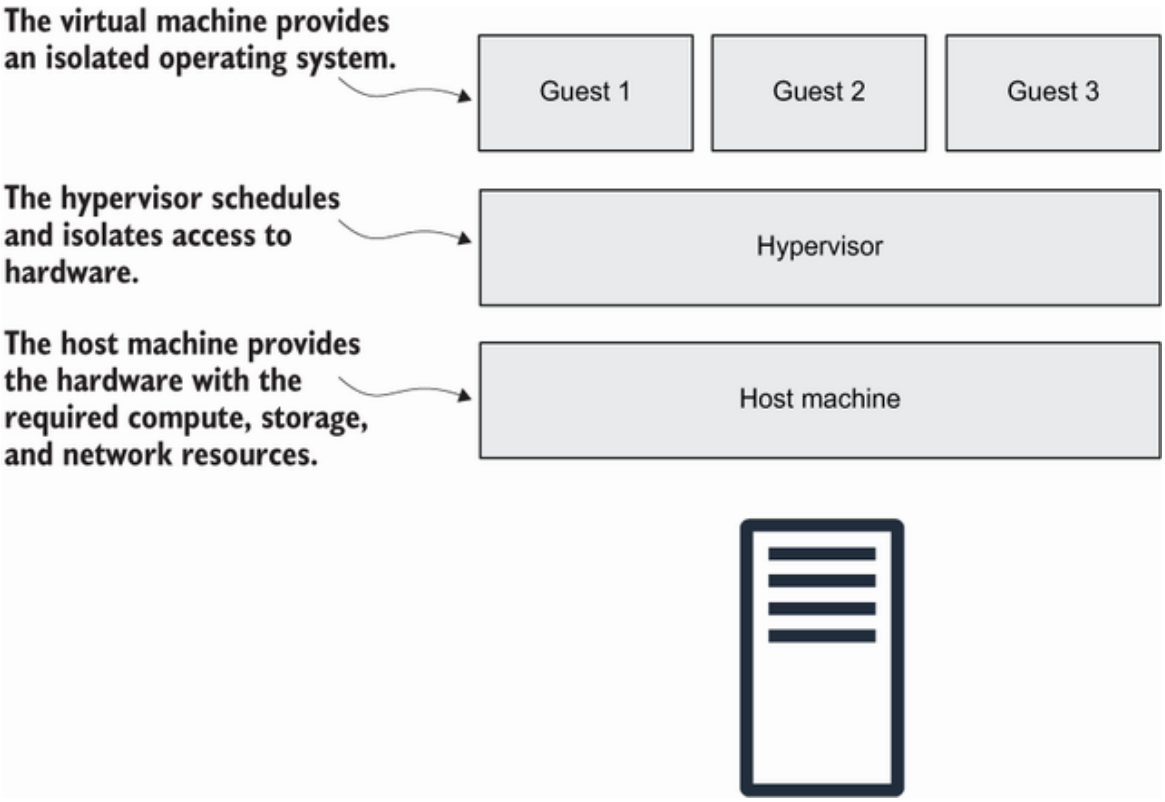


Figure 3.1 Layers of virtualization

Typical use cases for a virtual machine follow: